

BIG BUCK THEORY: MAYAWATI (BELOW) SAYS MUCH OF HER PARTY'S MONEY COMES FROM SMALL CONTRIBUTIONS; AKALI DAL'S PARKASH SINGH BADAL (RIGHT) WITH SON SUKHBIR



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THE RULING PARTY IN PUNJAB SHOWED AN INCOME OF JUST LAKH DURING 2005-06

come tax provisions seriously. A number of parties file returns much past the deadline, do not file them in the required format, and do not bother to attach the prescribed documents. The IT Department, in turn, shows no keenness to scrutinise the files and impose penalties as per the rules. A senior official at the IT Department says they keep the tax returns of political parties as they are filed; sometimes they scrutinise them and send notices out. But because they can only address the income of parties, which is exempt from income tax, the scrutiny becomes meaningless. Most parties don't enclose details of fixed assets. When they do, the figures are often incorrect or misleading. The CPI, for instance, puts a value of Rs 5.94 lakh on its head office at Ajoy Bhavan in New Delhi's Rouse Avenue, even though the most tightfisted of realtors would write out a cheque a hundred times that amount for the property.

Hand it to the Congress. India's grand old party has led the way in filling its coffers. Though headquartered

in Delhi, the Congress accounts are audited by a Kanpur-based chartered accountant. In 2006-07, the Congress collected Rs 34.64 crore as donation and Rs 123 crore from the sale of coupons. Yet the party has only disclosed a list of 102 donors who each paid more than Rs 20,000, the contributions totalling Rs 12 crore. The party also claims it spent Rs 48.76 crore on elections though it gives no details of such expenses. And though the deadline for filing the returns for 2007-08 was October 31, 2007, the ruling party had filed the returns on February 8, 2008. To a query on whether penalties would be imposed on political parties for such delay, spokesman of the Central Board of Direct Taxes, Shishir Jha, said, "If any discrepancy is found, appropriate action will be taken according to law." When asked about action taken so far, he said: "According to income tax law, we can scrutinise the income tax returns of the past six years."

The lotus seems parched in comparison. India's main opposition party has shown a loss of Rs 1.01 crore for 2006-07. The BJP, which once claimed to be the party with a difference, has kept up its difference in one way at least: it is the only political outfit to have secured bank loans worth Rs 8.08 crore. It earned Rs 55.61 crore through voluntary contributions during 2006-07 but disclosed the names of only 107 donors for a total contribution of Rs 2.95 crore. Like the Congress, the BJP too filed its ITR for 2007-08 on